

The West Penn Electric Company Class A stock is in reality a second preferred issue. In this example the customary statement makes the preferred dividend appear safer than the bond interest; and because the Class A issue is small, it makes this second preferred issue appear much safer than either the bonds or the first preferred. The correct statement shows that the Class A requirements are covered 1.26 times instead of 7.43 times—a tremendous difference. The erroneous method of stating the earnings coverage was probably responsible in good part for the high price at which the Class A shares sold in 1937 (108). It is interesting to observe that although the Class A shares had declined to 25 in 1932, they later sold repeatedly at a higher price than the 7% preferred issue. Evidently some investors were still misled by the per-share earnings figures, and imagined the second preferred safer than the first preferred.

An Apparent Contradiction Explained. Our principles of preferred-dividend coverage lead to an apparent contradiction, *viz.*, that the preferred stockholders of a company must require a larger minimum coverage than the bondholders of the same company, yet by the nature of the case the actual coverage is bound to be smaller. For in any corporation the bond interest alone is obviously earned with a larger margin than the bond interest and preferred dividends combined. This fact has created the impression among investors (and some writers) that the tests of a sound preferred stock may properly be less stringent than those of a sound bond.⁴ But this is not true at all. The real point is that where a company has both bonds and preferred stock the preferred stock can be safe

⁴ See, for example, the following quotations from R. E. Badger and H. G. Guthmann, *Investment Principles and Practices*, New York, 1941:

“Similarly, it is a general rule that, on the average, the interest on industrial bonds should be covered at least three times, in order that the bond should be considered safe” (p. 316).

“From the authors’ viewpoint, an industrial preferred stock should be regarded as speculative unless combined charges and dividend requirements are earned at least twice over a period of years” (p. 319).

“One is probably safe in stating that, where combined charges are twice earned, including interest charges on the bonds of the holding company, the presumption is in favor of the soundness of such holding company issue. Likewise, where combined prior charges and preferred dividend requirements are earned 1.5 times, the preferred stock of the holding company will be favorably regarded” (p. 421).

See also F. F. Burtchett, *Investments and Investment Policy*, New York, 1938, p. 325, where the author requires larger coverage of fixed charges on bonds than on preferred stocks of merchandising enterprises.